Economics - K-12 Level Assessment 21 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. Which of the following might worsen a nation's trade deficit?
   - (a) Lower wages relative to other nations.
   - (b) Lower taxes on corporate profits relative to other nations.
   - (c) A higher interest rate on financial assets relative to other nations.
   - (d) A higher rate of inflation relative to other nations.
2. Which of the following goods is likely to have the most elastic demand curve?
   - (a) Demand for white Ford minivans
   - (b) Demand for automobiles
   - (c) Demand for Ford automobiles
   - (d) Demand for American-made automobiles
3. Which of the following transactions would be counted in GDP?
   - (a) The cash you receive from babysitting your neighbor's kids
   - (b) The sale of illegal drugs
   - (c) The sale of cucumbers to a pickle manufacturer
   - (d) The sale of a pound of tomatoes at a supermarket
4. Holding all else equal which of the following monetary policies would be used to boost U.S. exports?
   - (a) Increasing the discount rate
   - (b) Increasing the reserve ratio
   - (c) Buying government securities
   - (d) Lowering tariffs
5. If interest rates rise in the United States relative to other nations then
   - (a) the value of the dollar will tend to appreciate.
   - (b) the value of the dollar will tend to depreciate.
   - (c) exchange rates will be affected but not the value of the dollar.
   - (d) the exchange rate will not be affected.

True / False (10 marks)

Answer True or False

6. True or False: Deadweight loss only occurs in perfectly competitive markets when price is equal to marginal cost.
7. True or False: Capitalist market economies are characterized by extensive government ownership of land and capital.
8. True or False: Lower taxes combined with selling Treasury securities represent a contractionary fiscal and expansionary monetary policy.
9. True or False: A 100$increaseinautonomousprivateinvestmentwouldshiftaggregatedemandtotherig$ in this economy.
10. True or False: A kinked demand curve indicates that marginal cost can be greater than price (MC > P) in certain market conditions.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how increasing investment in capital infrastructure and reducing consumption of nondurable goods can affect the rate of economic growth in the United States.
12. Discuss how the GDP deflator measures changes in the price level of national products and explain its significance in understanding economic trends.

End of Paper